

EU - INDIA

Key Objectives and Interests in Strengthening Mutual Relations

The EU and India share common interests in market diversification, upholding multilateralism and maintaining security in the Indo-Pacific.

Context

The recent achievement of the January 2026 Free Trade Agreement between the EU and India was a significant milestone in the relationship between both regions. However, reaching this agreement took years - negotiations began in 2007, collapsing in 2014 due to several disagreements on agriculture, intellectual property, data privacy, and sustainability. Despite previous failure, the establishment of the EU-India Trade and Technology Council (TTC) in 2023 created hope as it recognized the interconnections between trade, security, and technology. Both parties sought to reduce dependency on China through the TTC, responding to rising great power competition. In 2025, the EU commission further expressed its interest in strengthening its partnership with India through the 2025 New Strategic India-EU Agenda, highlighting cooperation across five pillars: prosperity, technology, security, connectivity and global governance. While both parties have diverging interests, geopolitical competition and the growing uncertainty of United States President Trump's trade policy and his tariffs on India have strongly influenced the agreement of the FTA in 2026.

EU Priorities

- *Diversification of supply chains*
 - Reliance on China for critical minerals: Russia's invasion of Ukraine exposed the risks of energy dependence, increasing the EU's need for critical minerals to support the clean energy transition while highlighting its heavy reliance on China—currently supplying 98% of its rare earths—amid the volatility of Trump's trade policies.
 - Establishment of the TTC in 2023: Viewed as a joint effort to reduce dependence on China, focusing on strategic technologies and digital governance, clean and green technologies, and trade and investment.
 - 2023 Memorandum of Understanding on semiconductors: An agreement with India under the TTC which aimed to boost supply chain resilience and innovation.
 - EU-India FTA: A major building block for diversification helping to reduce reliance on great powers and strengthens strategic autonomy and interdependence.
- *Security in the Indo-Pacific*
 - Strategic importance of the region: The region is a central hub for global trade and investment, particularly in light of rising geopolitical competition with China and increasing pressures on democratic principles and human rights.

- 2021 Indo-Pacific Strategy: Formalized the EU's interest, building on existing initiatives such as the Indian Navy and the EU Naval force cooperating through Operation Atalanta to combat piracy off the coast of Somalia and in the Indian Ocean.
- India-EU Security and Defense Partnership: Signed on January 27, 2026, it focuses on maritime security, cybersecurity, and counterterrorism, signaling deepening cooperation on overlapping security challenges and institutionalizing an annual India–EU Security and Defense dialogue.
- *Uphold the multilateral order*
 - A rules-based international order: The EU promotes multilateralism as it navigates intensifying power competition and declining trust in traditional alliances.
 - Avoiding a world dominated by the US and China: The EU thus views its engagement with India as a way to diversify partnerships with other emerging powers.
 - Ending the war in Ukraine: The EU's interest in promoting respect for territorial integrity, is an area of convergence between the EU and India.

India Priorities

- *Trade and Connectivity*
 - Securing a stable trade partner in the context of US protectionism: US 50% tariffs on India have strained bilateral ties and exposed India's vulnerabilities to protectionist shocks. India views the EU market as large, stable and diversified, with the FTA expecting to anchor and deepen that relationship.
 - Reducing dependence on Chinese imports: India's reliance on cheap Chinese imports (APIs, machinery, industrial tech etc.) weakens its manufacturing base. A stronger EU trade relationship helps diversify supply chains while promoting higher value-added Indian exports.
 - Cooperating on the India-Middle East- Europe Economic Corridor (IMEC): IMEC is of strategic interest to enhance Indian logistical resilience, reduce dependency to vulnerable shipping lanes, enhance integration into global supply chains while strengthening the country's geopolitical leverage on the global stage.
- *Defense and Security*
 - The Defense and Security Partnership (DSP) is a strategic shift: The DSP illustrates India's will to improve the reliability of its supply chains and to diversify its purchasing sources away from Russia. It provides a framework to cooperate on maritime security, cybersecurity, counterterrorism or hybrid threats.
 - Upgrading the defense industrial base: India is interested in promoting technology sharing and co-production opportunities with the EU in the context of the DSP.
 - Cooperation with the EU on the Indo-Pacific: Particularly on the Indian Ocean, this is of great added value for the containment of China in the region.

- *Industry and Technology*
 - FTA as a global gateway to global value chains (GVCs): As India wants to transform itself into a global manufacturing hub and attract Foreign Direct Investment, through the launching of the “Make in India” initiative, the FTA provides a good framework to support such integration.
 - Deepening the partnership on green technologies: In a sector where India already has scale advantages (labor costs, renewable energy sources), the EU can provide high technological expertise and regulatory standards.
 - The FTA paves the way for a strengthening of semi-conductor’s supply chains, including joint R&D.

Shared Priorities

- **As both countries face rising protectionism and geopolitical fragmentation, the EU-India partnership offers each side a reliable counterweight**, whether from a political, economic, or defense point of view.
- **While neither the EU nor India seek confrontation with China, less exposure appears necessary**. The EU can provide capital, technology and demand while India has the labor force and the manufacturing scale.
- Both are **core stakeholders in the multilateral institutions and committed to a rules-based order**, as they would both lose if great-power unilateralism prevails. India carries the voice of the Global South while the EU carries normative and institutional weight. Together the two blocs represent a quarter of global GDP and a powerful coalition for multilateralism.
- Both India and the EU share a fundamental interest in **freedom of navigation in the Indo-Pacific, open sea lanes and regional stability**. The EU’s diplomatic and financial reach can complement India’s strategic position and regional legitimacy.

Constraints

India and the EU are not entirely like-minded partners. Despite shared interests and the FTA, five key political and diplomatic constraints to full alignment remain:

- *Russian Threat Perception*: The EU views Russia as a direct security threat since its February 2022 invasion of Ukraine; India, with ties dating to 1947, treats it as a strategic partner. India's refusal to condemn Russian aggression at the UN, continued joint military exercises, and sustained oil purchases have all strained trust and relations with the EU. Russian crude accounted for 35–40% of India's crude imports in H1 2025. Despite decline in 2026, this remains a sore point in EU – India relations.
- *Carbon Border Adjustment Mechanism (CBAM)*: The EU and India hold conflicting value perceptions of the EU's CBAM. India openly criticises it as an unfair burden on developing economies — External Affairs Minister Jaishankar called it "unacceptable that one part of the world sets standards for all others"— arguing that India's historical emissions (3.4% of cumulative global CO₂, versus the EU's 22%) do not justify equal carbon costs. The issue has not been resolved in the FTA as it offers India no current special exemption from CBAM.

- *Market Access:* Protectionism persists in some market areas as both sides seek to protect sensitive sectors. The EU fully excludes beef, poultry, rice, sugar, dairy and honey from FTA tariff cuts. India similarly protects dairy, cereals and poultry. Further liberalisation in these areas seems unlikely.
- *Data Standards:* While the FTA advances digital trade rules and services liberalisation across 144 subsectors, EU-India personal data transfer standards remain unaligned. As of February 2026, India is still not on the EU's adequacy list. This requires businesses to rely on Standard Contractual Clauses for all cross-border data transfers, adding compliance costs and legal uncertainty to trade in the digital economy.
- *Human Rights Concerns:* The EU has repeatedly raised concerns about freedom of expression, religion and minority rights in India. A European Parliament briefing in February 2025 describes human rights as a "further cause for unease" in the bilateral relationship.

Further Cooperation

Despite these constraints, the EU and India can deepen cooperation while retaining their current political postures:

- *Multi-level Engagement:* Understanding each other's perspectives and priorities allows both partners to identify shared interests and frame mutually valuable offers. Leaders' summits, supplemented by business forums and think tank exchanges, build grassroots integration and demonstrate the value of cooperation to domestic audiences, fostering the diplomatic trust essential to managing a partner whose ideas may differ from your own.
- *Defining Red Lines:* Moving from value-based to transactional diplomacy involves *cooperating* with partners that may not align on all the political or moral values that the EU aims to uphold. Identifying 'no-go' zones (non-negotiables such as Russia) and working around them (focusing instead on trade and non-oil agendas) avoids being derailed by inherent differences.
- *Innovative Solution Building:* Where differences emerge, finding 'win-win' solutions ensure both sides see concrete added value. On CBAM, recycling EU CBAM revenues into investments in India's industrial decarbonisation lets the EU retain its climate policy while giving India tangible foreign direct investment returns on the carbon costs it bears.

Annex:

- 2026 EU - India Free Trade Agreement
https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/india/eu-india-agreements/text-agreements_en
- Towards 2030: A Joint EU-India Comprehensive Strategic Agenda:
https://ec.europa.eu/commission/presscorner/detail/it/statement_26_224
- 2025 New Strategic EU-India Agenda:
<https://www.consilium.europa.eu/en/press/press-releases/2025/10/20/new-strategic-eu-india-agenda-council-approves-conclusions/>
- 2023 MoU on Semiconductors:
<https://digital-strategy.ec.europa.eu/en/library/memorandum-understanding-semiconductors-india>
- 2021 Indo-Pacific Strategy:
https://www.eeas.europa.eu/eu-indo-pacific-strategy-topic_en

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